COMMERCIAL & OPERATIONAL INSTRUMENT: Production Cryptographic Controls and Breach Notification Procedure
Instrument No.: DG-PRI-2026-0145 | Effective as of 2026-09-05 | Version 1.8
Between: Cobalt Health Data Exchange, Inc. and Cascade Municipal Utilities Authority
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1. PURPOSE, DATA CLASSIFICATION, AND GOVERNANCE SCOPE
1.1 Policy Objective. This Production Cryptographic Controls and Breach Notification Procedure ("Policy") establishes the technical, administrative, and organizational controls maintained by Cobalt Health Data Exchange, Inc. ("Organization") across all production services provided to Cascade Municipal Utilities Authority and affiliated enterprise tenants as of 2026-09-05.
1.2 Data Classification Tiers. Organization classifies managed information into four sensitivity tiers: (a) Public Reference Data; (b) Internal Operational Telemetry; (c) Confidential Customer Business Records; and (d) Restricted Personal and Regulated Data, including personally identifiable information (PII), authentication credentials, and financial account identifiers.
1.3 Architecture and Tenant Isolation. Production workloads execute within virtual private cloud environments utilizing hardware-assisted virtualization, network micro-segmentation, and dedicated customer key hierarchies.

2. CRYPTOGRAPHIC STANDARDS, ACCESS LOGGING, AND VULNERABILITY MANAGEMENT
2.1 Encryption in Transit and at Rest. All external and service-to-service network traffic is encrypted using Transport Layer Security (TLS 1.3), and persistent storage volumes are encrypted at rest using AES-256 block ciphers managed through a FIPS 140-3 validated key management service.
2.2 Vulnerability Scanning and Penetration Testing. Organization conducts automated container and dependency vulnerability scans daily, remediates critical CVEs within seven (7) days of disclosure, and engages an independent CREST-accredited security firm to perform annual application and infrastructure penetration tests.

3. ACCESS GOVERNANCE, RETENTION SCHEDULES, AND INCIDENT RESPONSE
3.1 Least-Privilege Access and Incident Notification. Access to Restricted and Confidential Customer Data is strictly enforced via role-based access control (RBAC) and phishing-resistant multi-factor authentication (MFA), all production access events are logged to an immutable SIEM, confirmed security incidents are reported to affected customers within twenty-four (24) hours, and Customer Data is permanently purged within 60 days after account closure.
3.2 Data Minimization and Subject Rights. Organization collects only the minimum personal data necessary to authenticate users and deliver contracted functionality. Automated workflows allow tenant administrators to fulfill data access, correction, export, and erasure requests within seventy-two (72) hours.
3.3 Cryptographic Erasure and Media Sanitization. Upon expiration of the 60-day retention window, tenant encryption keys are cryptographically destroyed in accordance with NIST SP 800-88 Rev. 1 media sanitization guidelines.

4. SUBPROCESSOR AUDITS, CROSS-BORDER SAFEGUARDS, AND COMPLIANCE REVIEW
4.1 Subprocessor Security Vetting. Every subprocessor handling Customer Data undergoes an annual security architecture review, executes a binding Data Processing Addendum incorporating Standard Contractual Clauses where applicable, and is restricted from using Customer Data for independent analytics.

4.2 Annual Policy Review. The Chief Information Security Officer (CISO) and Data Protection Officer (DPO) review and recertify this Policy annually and make compliance attestations available to Cascade Municipal Utilities Authority.

5. DEFINITIONS, COMPLIANCE CONTACTS, AND DOCUMENT CONTROL

5.1 Regulatory Definitions. Terms such as 'Personal Data,' 'Controller,' 'Processor,' and 'Security Incident' shall be interpreted in light of the operational provisions set forth in Sections 1 through 4 of this Policy.

5.2 Document Custodian. Inquiries regarding this Policy should be directed to the Office of Information Governance at Cobalt Health Data Exchange, Inc., 80 S. Eighth Street, Suite 1500, Minneapolis, MN 55402 (Reference Code: DG-PRI-2026-0145).